

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 26-04

ORLEANS INTERNATIONAL, INC.,

Complainant,

v.

HAPAG-LLOYD AG,

Respondent,

RESPONDENT'S MOTION TO DISMISS

Pursuant to 46 C.F.R. § 502.69, Respondent Hapag-Lloyd AG hereby moves to dismiss with prejudice Complainant's Complaint filed on March 16, 2026.

A memorandum in support of this motion is submitted herewith.

DATE: April 27, 2026

Respectfully Submitted,

/s/ Jake Evans

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Respondent,

MEMORANDUM IN SUPPORT OF RESPONDENT’S MOTION TO DISMISS

Respondent Hapag-Lloyd AG (“Hapag” or “Respondent”), through undersigned counsel, hereby submits this memorandum in support of its Motion to Dismiss Complainant’s Complaint, filed on March 16, 2026 (the “Complaint”).

INTRODUCTION

Complainant fails to meet the basic pleading standards required by Federal Maritime Commission rules and applicable federal law. First, Complainant’s refusal to deal claim under 46 U.S.C. § 41104(a)(10) must be dismissed because Complainant fails to allege facts supporting the essential elements of the claim. The Complaint’s allegations of wrongful conduct relate exclusively to the assessment of detention and demurrage charges and have nothing to do with vessel space accommodations, the subject matter that Section 41104(a)(10) governs.

Second, the Complaint is partially time-barred. Under 46 U.S.C § 41301(a), the statute of limitations for claims for demurrage and detention is three years. Complainant’s own allegations establish that it knew or should have known of the facts giving rise to its claims no later than mid-

2021, yet the tolling agreement Complainant relies upon only provides coverage as of June 28, 2024. Any claims prior to June 28, 2021, are therefore time-barred. Complainant's deliberate use of vague, imprecise language to describe the accrual period does not resolve this deficiency in its favor—it compounds it.

Third, and most fundamentally, the Complaint fails to provide the clear and concise factual statement that Commission rules require. Rather than identifying the specific shipments, containers, or invoices at issue, Complainant broadly and vaguely references a two-year period further hedged by qualifying language such as “at least a substantial majority.” This is particularly problematic because the reasonableness of demurrage and detention charges is determined on a **container-by-container basis**, making the identification of specific charges not a mere pleading formality, but an absolute prerequisite to a cognizable claim. Complainant cannot keep the scope of this proceeding deliberately undefined while simultaneously asking the Commission and Respondent to defend against an open-ended and shifting universe of alleged violations.

For all these reasons, the Complaint should be dismissed with prejudice. In the alternative, the Commission should exercise its authority under 46 C.F.R. § 502.62(a)(3)(v) to compel Complainant to amend the Complaint and supply the factual specificity that Commission rules and sound administrative practice demand.

LEGAL STANDARD

Although the Commission's rules of practice and procedure do not explicitly provide for motions to dismiss, Rule 12 (46 C.F.R. §502.12) states that the Federal Rules of Civil Procedure (“FRCP”) are followed in instances that are not covered by the Commission's rules, to the extent that the application of the FRCP is consistent with sound administrative practice. The “Commission looks to Federal Rule of Civil Procedure to Rule 12(b)(6) when considering

dismissals based on failure to state a claim.” *MAVL Cap. Inc. v. Marine Transp. Logistics, Inc.*, Docket No. 16-16, 2020 FMC LEXIS 216, at *6 (FMC Oct. 29, 2020).

A motion to dismiss tests the legal sufficiency of a complaint, and a complaint must contain sufficient factual matter accepted as true, to “state a claim to relief that is plausible on its face.” See *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 32 S.R.R. 126, 136, 2011 FMC LEXIS 12, at *25-26 (FMC Aug. 1, 2011) (quoting *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007)). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Mitsui O.S.K.*, 32 S.R.R. at 136 (quoting *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009)). Well-pleaded allegations in the complaint are assumed true; however, interpretation of statutes is also a matter of law, and a court or agency must apply the “best reading” of a statute and not merely a “permissible” one. *Loper Bright Enters. v. Raimondo*, 603 U.S. 369, 371 (2024).

The Presiding Officer should not “accept any inferences drawn by complainants that are unsupported by the facts pleaded in the complaint” nor should the Presiding Officer “accept legal conclusions cast in the form of factual allegations.” *Ian Mills v. Crowley Logistics, Inc.*, No. 1995(F), 2024 WL 1855588, at *2 (ALJ 2024) (partially granting motion to dismiss) (quoting *Cornell v. Princess Cruise Lines, Ltd.*, No. 13-02, 2014 WL 5316340, at *6-7 (FMC Aug. 28, 2014). “A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555). The focus at this stage is not whether a complainant can prevail on its claim but whether it has adequately pled the claim. *Negron v. USAA Cas. Ins. Co.*, 2014 U.S. Dist. LEXIS 125179, at *5 (M.D. Tenn. 2014).

As explained below, Complainant fails to meet this standard and should be dismissed.

ARGUMENT

Respondent moves to dismiss Complainant's Complaint on three grounds: (1) failure to plead sufficient facts supporting essential elements of the refusal to deal claim under 46 U.S.C. § 41104(a)(10); (2) the claims are time-barred under the three-year statute of limitations; and (3) failure to provide a clear and concise factual statement supporting the demurrage and detention claims under 46 U.S.C. § 41102(c) and § 41104(a)(14). As demonstrated below, the Complaint fails on all three grounds and should be dismissed with prejudice.

I. The Refusal to Deal Claim Under 46 U.S.C. § 41104(a)(10) Should Be Dismissed Because it Fails to Allege Sufficient Facts Supporting Each Element of the Claim.

The Complaint fails to allege sufficient facts supporting each element of its claim for refusal to deal under 46 U.S.C. § 41104(a)(10).

Presently, Section 41104(a)(10) provides that a “common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier.” The Commission's final rule expressly mandates the elements that a complainant must establish to succeed on a private party action for Refusal to Deal under 46 U.S.C. § 41104(a)(10): (i) the respondent must be an ocean common carrier as defined in 46 U.S.C. § 40102; (ii) the respondent refuses or refused to deal or negotiate with respect to vessel space accommodations; and (iii) the ocean common carrier's conduct is unreasonable. Definition of Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier, 89 F.R. 59648 (Final Rule July 23, 2024); *see also* 46 C.F.R. 542.1(f).

Prior to June 16, 2022, Section 41104(a)(10) simply prohibited a common carrier from “unreasonably refus[ing] to deal or negotiate.” Subsequent decisions have confirmed that an unreasonable refusal to deal requires a showing that the common carrier imposed an unreasonable

impediment to a shipper's access to common carriage. *MSRF, Inc. v. HMM Co. Ltd.*, Dkt. No. 22-20, 2023 WL 8242695 (ALJ Nov. 22, 2023); *see also Samsung Elecs. Am., Inc. v. Orient Overseas Container Line Ltd. & OOCL (Europe) Ltd.*, Dkt. No. 24-17, 2024 WL 4893409, at 12 (ALJ Nov. 18, 2024) (“*SEA v. OOCL*”) (holding there is not enough factual material to carry Complainant's claim into the realm of plausibility when averments had nothing to do with vessel-space accommodation and specifically related to detention and demurrage practices). As set forth below, the Complaint falls far short of this standard.

The Complaint fails to allege any facts supporting the second and third elements of its Refusal to Deal claim. Notably, the Complaint does not allege a single fact describing how, when, or in what manner Respondent refused or failed to negotiate with respect to vessel space accommodations. Instead, the Complaint does no more than recite the statutory language and offer conclusory assertions. This is precisely the kind of formulaic pleading that *Twombly* and *Iqbal* forbid. What little the Complaint does allege regarding any supposed refusal or unreasonable conduct only relates to the assessment of detention and demurrage charges, which bear no relationship to vessel space accommodations and cannot, as a matter of law, sustain a claim under Section 41104(a)(10). *See* Compl. ¶¶ 18, 35, 56.

The parallels between this case and *SEA v. OOCL* are dispositive. In *SEA v. OOCL*, the ALJ dismissed the refusal to deal claim precisely because the complainant's averments “had nothing to do with vessel-space accommodation” and instead “specifically related to detention and demurrage practices.” *SEA v. OOCL*, 2024 WL 4893409 at *12. The ALJ found that without factual allegations tying the respondent's conduct to vessel space accommodations, the complaint lacked the factual material necessary to carry the claim into the realm of plausibility. *Id.*

The Complaint here suffers from the exact same deficiency. Like the dismissed complaint

in *SEA v. OOCL*, Complainant here offers no facts showing that Respondent denied, restricted, or otherwise impeded Complainant's access to vessel space. The Complaint's allegations are, in substance and structure, indistinguishable from those that the ALJ found insufficient in *SEA v. OOCL*, and the Commission should reach the same result.

Accordingly, Complainant fails to state a prima facie claim that Respondent engaged in an unreasonable refusal to deal or negotiate, and Complainant's Section 41104(a)(10) claim should be dismissed. Complainant also rests its unenumerated count under Section 41104(a)(14), in part, on Count 2. Compl. ¶ 18. For reasons set forth above, any claim under Section 41104(a)(14) should be similarly dismissed.

II. The Complaint Must Be Dismissed as Time Barred.

The Complaint is fatally defective on timeliness grounds and must be dismissed. Complainant's own allegations establish that its claims accrued no later than mid-2021, placing them outside the three-year statute of limitations. Compounding this problem, the tolling agreement on which Complainant relies only provides coverage as of June 28, 2024, leaving a gap period that Complainant's vague and imprecise pleading cannot bridge. Taken together, these deficiencies require dismissal.

A. The Complaint admits that, by mid-2021, the alleged claims accrued for statute of limitations purposes.

Pursuant to Section 41301(a), complaints seeking reparations for injuries resulting from alleged violations of the Shipping Act must be filed within three years after the claim accrues. *See also* 46 C.F.R. § 502.302(a). The Commission has interpreted claim accrual to be when a complainant "knew or should have known" of facts giving rise to a cause of action. *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Dkt. No. 08-03, 2013 FMC LEXIS 5, at *10-11 (FMC Jan. 31, 2013) ("We agree that claim accrual occurs when a complainant knew or should have

known that it had a cause of action as opposed to a *prima facie* case.”); *Inlet Fish. Prod., Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 306, 314 (FMC 2001) (“a cause of action accrues when a party knew or should have known that it had a claim”). “The statute of limitations begins to run on the first date that the injured party possesses sufficient critical facts to put him on notice that a wrong has been committed and that he need investigate to determine whether he is entitled to redress.” *In Re: Vehicle Carrier Servs.*, Dkt. Nos. 16-01, 16-07, 16-10, 16-11, and 17-09, 1 F.M.C.2d 440, 459 (FMC Oct. 21, 2019) (citations omitted).

Complainant’s own Complaint is the most compelling evidence that its claims are time-barred. Complainant affirmatively pleads knowledge of the underlying facts by mid-2021. Paragraph 33 of the Complaint states that “the issues leading to the Charges at issue began surfacing in mid-2021,” and references “Complainant’s communications at the time” as further evidence of its contemporaneous awareness of the alleged conduct. Compl. ¶¶ 31, 33. Most tellingly, Complainant asserts that “[b]y mid-2021, logistics providers were already ‘saying no’ to other importers.” *Id.* This serves as an admission that by mid-2021 at the latest, Complainant was not only aware of the alleged wrongdoing, but aware of its broader market context. These averments, taken together and accepted as true, establish that Complainant possessed more than sufficient critical facts by mid-2021 at the latest to trigger the statute of limitations.

Complainant’s additional references to a broad scope of “2021 and 2022” throughout the Complaint and its acknowledgment of payments made over that same period without further specificity only reinforce this conclusion. Compl. ¶¶ 3, 6, 20, 21, 24, 32, 59. Complainant cannot simultaneously rely on these broad temporal averments to define the scope of its claims while escaping their consequences for timeliness purposes.

Accepting as true the facts Complainant itself has pled, the claims accrued no later than mid-2021, and the statute of limitations began to run at that time.

B. Despite the tolling agreement, any claims prior to June 28, 2021 are time-barred.

Despite Complainant's purposefully vague pleading, claims earlier than June 28, 2021 are time-barred and the Complaint should be dismissed.

Complainant itself has affirmatively pled the existence and scope of the tolling agreement. *See* Compl. ¶ 51. Where, as here, a complainant relies upon a tolling agreement in its own complaint, no further showing by Respondent is needed to establish its applicability; the burden falls squarely on Complainant to demonstrate timeliness. *Nielsen & Bainbridge, LLC v. Ocean Network Express Pte. Ltd., Orient Overseas Container Line Ltd., OOCL (Europe) Ltd., Evergreen Line Joint Serv. Agreement (FMC#011982), Evergreen Marine Corp. (Taiwan) Ltd.*, Dkt. No. 25-02, 2025 WL 1937526, at *2 (ALJ July 7, 2025); *see also In Re: Vehicle Carrier Servs.*, 2019 FMC LEXIS 111, at *31 (citing *Maier*, 2015 FMC LEXIS 43, at *110). Once the respondent meets its burden, the burden shifts to the complainant to establish that its claim is timely. *Vehicle Carrier Services*, 2019 FMC LEXIS 111, at *31. Respondent has satisfied any burden, but Complainant cannot carry its own.

The tolling agreement on which Complainant relies provides no refuge. By its express terms and the Complaint, the tolling agreement only tolls claims as of June 28, 2024, leaving the period from January 1, 2021, through June 27, 2021, entirely unprotected. *See* Compl. ¶ 51. This gap is dispositive. As established above, the Complaint places the accrual of its claims squarely within that unprotected period, repeatedly referencing "mid-2021" as the point at which the alleged

issues surfaced and Complainant's awareness crystallized. Yet, Complainant offers no further specificity as to what “mid-2021” means in the context of its claims.¹

That imprecision is fatal. By any reasonable construction, the middle or midst of 2021 encompasses dates placing claims outside the tolling agreement's protection. Complainant drafted the Complaint and chose to rely on the imprecise phrase “mid-2021.” It cannot now benefit from the ambiguity of its own making, and the Presiding Officer should not resolve that ambiguity in Complainant's favor.

Complainant offers no justification for asserting claims that accrued more than three years prior to filing and that fall outside the scope of the pleaded tolling agreement. Complainant's wholesale failure to identify the specific shipments, containers, or invoices at issue makes it impossible to draw any principled line between timely and untimely claims. That failure is not an accident—it is a consequence of Complainant's deliberate choice to plead its claims at the highest level of generality while seeking the broadest possible recovery. The Commission should not reward that approach. Dismissal of the Complaint in its entirety is warranted.²

III. The Claim for Reasonableness of Demurrage and Detention charges under 46 U.S.C. § 41102(c) and 46 U.S.C. § 41104(a)(14) Fails to State a Claim.

Complainant's demurrage and detention claims suffer from a fundamental and independently dispositive pleading deficiency: the Complaint fails to identify, with any specificity, the shipments, containers, or invoices that form the basis of its claims. This failure strikes at the heart of two distinct but reinforcing requirements—the substantive obligation to plead a cognizable

¹ Black's Law Dictionary, for example, does not define the colloquial use of “mid,” but Merriam-Webster defines it only as “being the part in the middle or midst.” “mid,” Merriam-Webster.com, 2026, <https://www.merriam-webster.com/dictionary/mid> (accessed Apr. 27, 2026).

² In the alternative, the Commission is empowered on its own initiative to require Complainant to amend the Complaint to supply the factual particulars necessary to define the scope of its claims with the precision that both the statute of limitations and sound administrative practice demand. 46 C.F.R. § 502.62(a)(3)(v).

“practice” under Section 41102(c), and the procedural obligation under Commission rules to provide a clear and concise factual statement sufficient to inform Respondent of the claims it must defend. As set forth below, Complainant fails to satisfy both requirements, and its claims under both Section 41102(c) and Section 41104(a)(14) must be dismissed.

A. Complainant Fails to Plead a Cognizable “Practice” Under 46 U.S.C. § 41102(c).

The Complaint fails to satisfy the requirements under Section 41102(c). The Commission has identified five elements of a claim under Section 41102(c): (a) the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis; (c) the practice or regulation relates to or is connected with receiving, handling, storing, or delivering property; (d) the practice or regulation is unjust or unreasonable; and (e) the practice or regulation is the proximate cause of the claimed loss. 46 C.F.R. § 545.4. To satisfy the “practice” element under Section 545.4(b), a complainant must plead sufficient facts to demonstrate a pattern of behavior—not an isolated error, occasional transaction, or one-shot occurrence. *SEA v. OOCL*, 2024 WL 4893409 at *5.

The Complaint fails this requirement. Rather than pleading facts sufficient to establish a pattern of behavior occurring on a normal, customary, and continuous basis, Complainant substitutes a broad two-year time horizon and a handful of anecdotal container and industry-wide examples for the factual predicate the law demands. The Complaint defines the scope of its claims as demurrage and detention charges assessed over the period of 2021 and 2022, but then immediately undermines even that imprecise scope by qualifying it with the phrase “at least a substantial majority.” Compl. ¶ 3. This qualifying language, repeated throughout the Complaint, is a tacit acknowledgment that not all shipments, containers, or invoices within the pleaded period

are associated with the alleged practice. *See id.* ¶¶ 3, 17, 18. Yet, Complainant makes no effort to identify which ones are. The result is a claim with no defined boundaries and no factual foundation sufficient to establish the existence of a cognizable practice under Section 41102(c).

This deficiency is made all the more glaring by Complainant’s own conduct. When it suits Complainant’s narrative purposes, Complainant demonstrated a clear ability to identify specific containers at issue by citing anecdotal examples. Compl. ¶¶ 40, 42, 44. Complainant cannot selectively invoke container-level specificity to illustrate its claims while simultaneously refusing to define the full universe of containers that make up those claims. Complainant is required to identify, at minimum, what shipments, containers, or invoices constitute the alleged practice. *SEA v. OOCL*, 2024 WL 4893409 at 5. Complainant has not done so, and that failure is fatal to its Section 41102(c) claim.

B. Complainant Fails to Meet the Commission’s Pleading Standard Requiring a Clear and Concise Factual Statement.

Complainant’s pleading deficiency is independently fatal under the Commission’s own rules of practice. The Commission’s pleading rules contemplate more detail than Federal Rule of Civil Procedure 8(a)’s baseline requirement of a “short and plain statement of the claim.” *Maier*, 2015 WL 9426189, at *9 (citing 46 C.F.R. § 502, Ex. No. 1 to Subpart E [502.62] Checklist of Specific Information (2012)). Commission rules expressly require a complainant to provide “a clear and concise factual statement sufficient to inform each respondent with reasonable definiteness of the acts or practices alleged to be in violation of the law.” 46 C.F.R. § 502.62(a)(3)(iii). Having adopted the Rule 12(b)(6) standard by incorporating the Federal Rules of Civil Procedure, the Commission cannot simultaneously reject the Supreme Court’s interpretation of the pleading rules on which that standard depends, but the Commission’s pleading rules and the federal standard must be read in harmony. *Maier Terminals*, 2015 WL 9426189, at

*9 (holding that the recently decided *Iqbal* and *Twombly* plausibility standard is consistent with sound administrative practice and rejecting that the Commission’s own rule on pleading that predates *Iqbal* and *Twombly* was a lower pleading standard).

Complainant’s Complaint does not satisfy this standard. A broad definitional scope encompassing two years of unspecified demurrage and detention charges, further hedged by qualifying language such as “at least a substantial majority,” does not inform Respondent—or the Commission—of anything with reasonable definiteness. Respondent is left without any meaningful ability to assess the scope of the claims it must defend, evaluate its potential exposure, or prepare an adequate response. That is precisely the outcome that the Commission’s pleading rules are designed to prevent.

C. The Container-by-Container Nature of Demurrage and Detention Analysis Requires Specificity.

The Complaint should be dismissed due to its pleading deficiencies. The reasonableness of demurrage and detention charges is determined on a container-by-container basis. *Visual Comfort & Co. v. Cosco Shipping Lines Co., Ltd.*, Dkt. No. 24-01, 2025 WL 1662697, at *24 (ALJ Apr. 28, 2025). This requires a fact-specific inquiry that balances “how a particular charge fits within the incentive principle to further the primary purpose of promoting freight fluidity” against other arguments and circumstances raised by the parties. *Visual Comfort*, 2025 WL 1662697, at 24 (quoting *TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp. & Evergreen Line Joint Serv. Agreement*, Dkt. No. 1966(I), 2025 WL 516256 (FMC Feb. 13, 2025)).

This container-by-container framework is the substantive methodology by which demurrage and detention claims are evaluated. Without knowing which specific containers are at issue, neither the Commission nor Respondent can conduct the analysis that the law requires. Permitting Complainant to proceed on the basis of an undefined and amorphous universe of

containers would prejudice Respondent, make meaningful adjudication of the claims impossible, and substantially increase the complexity, time, and costs of these proceedings.³

For the foregoing reasons, Complainant's claims under Section 41102(c) must be dismissed. Because Complainant's unenumerated count under Section 41104(a)(14) is expressly premised, in part, on Count I, Complaint, paragraph 54, that claim must be dismissed as well for the same reasons. In the alternative, the Commission is empowered on its own initiative to require Complainant to amend the Complaint to supply the factual particulars necessary to define the scope of its claims with the precision that Commission rules and the container-by-container nature of this analysis demand. 46 C.F.R. § 502.62(a)(3)(v).

CONCLUSION

For the foregoing reasons, Complainant's Complaint should be dismissed with prejudice. In the alternative, the Commission should require the complaint to be amended pursuant to 46 CFR 502.62(a)(3)(v) to supply the necessary facts needed to sufficiently define the scope of its claims that are premised upon a container-by-container analysis.

DATE: April 27, 2026

Respectfully Submitted,

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³ The Commission has experienced a significant increase in the number and complexity of cases filed requiring two additional judges to ensure timely adjudication. FMC Adds Two Additional Administrative Law Judges on Temporary Basis Posted on: January 27, 2026

CERTIFICATE OF SERVICE

I hereby certify that on this 27th day of April 2026, the foregoing Motion to Dismiss and Memorandum in support of same was served via electronic mail on:

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